

over \$180. Even after it suffered the consequences of the Atari fiasco, and the price declined by 60 percent in 1983–84, it was still twice my exit price of \$38. I hope I've learned my lesson here.

Another time I made a premature exit from Toys "R" Us, that nifty fast grower that I've already bragged about. By 1978, when Toys "R" Us was liberated from Interstate Department Stores (a woeful dog) in that company's bankruptcy action (creditors were paid off in new Toys "R" Us shares), this was already a proven and profitable enterprise, expanding into one mall after another. It had passed the tests of success in one location, and then of duplication. I did my homework, visited the stores, and took a big position at an adjusted price of \$1 per share. By 1985, when Toys "R" Us hit \$25, it was a 25-bagger for some. Unfortunately, those some didn't include me, because I sold too soon. I sold too soon because somewhere along the line I'd read that a smart investor named Milton Petrie, one of the deans of retailing, had bought 20 percent of Toys "R" Us and that his buying was making the stock go up. The logical conclusion, I thought, was that when Petrie stopped buying, the stock would go down. Petrie stopped buying at \$5.

I got in at \$1 and out at \$5 for a five-bagger, so how can I complain? We've all been taught the same adages: "Take profits when you can," and "A sure gain is always better than a possible loss." But when you've found the right stock and bought it, all the evidence tells you it's going higher, and everything is working in your direction, then it's a shame if you sell. A fivefold gain turns \$10,000 into \$50,000, but the next five folds turn \$10,000 into \$250,000. Investing in a 25-bagger is not a regular occurrence even among fund managers, and for the individual it may happen only once or twice in a lifetime. When you've got one, you might as well enjoy the full benefit. The clients of Peter deRoeth, who first told me about Toys "R" Us, did just that. He stuck with it all the way in his fund.

I managed to repeat the error with Flowers, a bakery company, and then again with Lance, a crackers company. Because somebody told me that these were takeover candidates, I kept waiting for them to be taken over and finally got bored and disposed of my shares. After I sold, you can imagine what happened. The lesson this time was that I shouldn't have cared if this profitable bakery company got taken over or not. In fact, I should have been delighted that it stayed independent.

I already reported that I almost didn't buy La Quinta because an important insider had been selling shares. Not buying because an insider has started selling can be as big a mistake as selling because an outsider (Petrie) has stopped buying. In the La Quinta case I ignored the nonsense, and I'm glad I did.

I'm sure there are other examples of my having been faked out that I've